Soitec

Feedback and pushback to our recent upgrade plus our sense on positioning

Overweight

SOIT.PA, SOI FP
Price (08 Oct 26):€152.40
Price Target (Jun-28):€200.00

European Tech Hardware & Payments

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With this note, we outline the most common questions and concerns we received following our upgrade of Soitec to Overweight (here). Overall, investors see material upside to revenue and earnings forecasts for Soitec driven by the Silicon Photonics business; however, based on our conversations it seems like the name is favoured by Hedge Fund investors (on the positive earnings revision thesis) while there is lower appetite from Long Only investors to participate (given historic challenges/missteps and cashflow). We think that in time that investor interest should broaden as upgrades come through and implied valuations become cheaper (on our estimates, the shares are currently trading on ~10x FY29 EV/EBIT).

- **Silicon Photonics enthusiasm:** Our discussions suggest that investors were Bull-ish on the Silicon Photonics opportunity (more often than not they were ahead of our expectations (€1.1b of revenue in FY30)). Investors liked the direct, "first derivative" exposure to Optical, which some called out as relatively unique in Europe. There seemed to be expectations for continued positive pricing (~LDD% in FY27, JPMe 10%), perhaps stretching into FY28. On possible concerns, while investors did not see evidence of these issues materialising in the near-to-medium term, the watch points were on: (i) any slippage on NPO or CPO ramps, and (ii) moves to bring on second sources for Silicon Photonics wafers. On (ii), our forecasts assume that Soitec's market share would fall to 80% in FY30 (which was seen as fair) with the most likely beneficiary being Global Wafers. Investors did not raise concerns about a possible expansion of SOI capacity at Global Wafers (which their management has indicated as possible), with this likely to be seen as confirming market growth rather than being immediately negative (given likely 2-3 years to bring new capacity online).
- **Investors discounting the non-SiPho business:** There was limited pushback from investors on our view that there is downside risk to the Mobile Communications business, we sensed that investors either agreed with our cautious forecasts or did not see the Mobile business as an important piece of the equity story going forward.
- **Gross margin bridge: near-term vs. long-term:** Generally, most investors were in agreement with our view that the mix shift and leverage will see margins exceed prior peaks; although not all investors had appreciated the contribution margin uplift from the mix shift towards Silicon Photonics. There was some questions on the FY27 bridge on gross margin given disclosed headwinds on lower research grants (recognised in cost of goods) and higher share based compensation. We note that when bridging from FY26 to FY27 gross margin, one should assume a normalized inventory impairment (with FY26 including €42m impairment (7.2% sales), while the normal ratio is ~2-3% of sales in a given year).
- **Cheap on EBIT or EPS, less so on FCF (given additional capacity required):** From our discussions, most anticipated that footprint expansion would be required to meet demand (as we do), with most expecting that an announcement on Singapore Phase II would come in the next ~2-3 quarters

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(given 2 year lead time to tool and ramp). The challenge is that the capex for new capacity quickly consumes much of the operating cashflow growth (~€700m capex required for Phase II). This means that while the shares will look very cheap on FY29 or FY30 EBIT or EPS, on FCF basis the shares will be less attractive (see Table 1). We take the view (shared by most investors we spoke to) that the capital intensity of Soitec as a wafer maker is reflected in the lower P/E or EV/EBIT multiple applied, and would also highlight that the market has been willing to buy shares at a low or negative FCF yield historically on the expectation of future earnings (see Figure 1).

- **Diluiton on bond issuance?** Soitec announced a €500m ORNANEs bond due September 2033. Our reading of the terms of the bond is that the bond can be settled through a combination of cash, new shares or existing shares, at the option of Soitec, which should result in minimal dilution. The conversion/exchange price is at a meaningful premium to the current share price (€206.46), and the bond pays just a 0.5% coupon. In sum, we do not think that the equity dilution should be material.
- **Can the company keep surprising?** Given the absence of in-year guidance (the company is only guiding one quarter out), we think that the company can continue to keep surprising and see positive forecast revisions. Given the companies reporting cadence (quarterly sales only, half-yearly full financials), we think that there could be a delay as the market is first positively surprised on revenue and then on profitability. The company (and new management) seem to be in the philisophy of rebuilding credibility with investors, and have previously said that they do not expect to give full year guidance until the RF-SOI inventory channel has normalised, so the company is likely to continue to only guide short-term (and conservatively) for a number of quarters.
- **There's upside to outer year EPS, but when do the shares price it in?** One push back we have encountered is that while there is very meaningful upside to FY28+ estimates, the question is when will the valuation reflect this? This issue is not unique to Soitec within the AI value chain (e.g. Nvidia is trading on 11x 2-year forward P/E on Bloomberg). The problem is duration, and the market seems unwilling to price for duration of the AI trade at this point. We think that the AI value chain can continue to work in the future, although we admit that this is dependent on newsflow at the top of the "AI capital funnel".
- **Our sense of positioning:** From our discussions, it seems like Hedge Funds are predominantly long (on the thesis of upside to Silicon Photonics with significant earnings leverage). We sense much less appetite from Long Only investors, presumably given concerns around execution given recent history. We think Long Only investors could (should) become more involved as the upgrades start to come through (as we expect they will) and the valuation begins to look attractive for a way to gain exposure to the AI stack.

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Table 1: Wafer maker peers, valuation metrics

x

	Share Px (LC)	Market Cap (USD'M)	Year-end	EV / Sales Yr. 0	EV / Sales Yr.+1	EV / Sales Yr.+2	EV / EBITDA Yr. 0	EV / EBITDA Yr.+1	EV / EBITDA Yr.+2	EV / EBIT Yr. 0	EV / EBIT Yr.+1	EV / EBIT Yr.+2	P / E Yr. 0	P / E Yr.+1	P / E Yr.+2	FCF yield Yr. 0	FCF yield Yr.+1	FCF yield Yr.+2
Wafer makers																		
Global Wafers	1130	18,685	Dec	10.0	7.5	6.1	33.6	20.7	13.2	78.4	32.8	21.4	53.4	30.8	19.4	1.2%	2.1%	5.2%
SUMCO	3473	7,693	Dec	3.4	3.2	2.8	11.9	9.7	7.7	-	36.5	14.6	-	45.3	17.6	4.7%	5.1%	4.6%
Shin-Etsu	6121	76,861	Mar	3.9	3.7	3.4	11.0	9.8	9.0	14.9	13.1	11.7	20.5	18.0	15.9	3.6%	3.4%	3.8%
Siltronic	81	2,985	Dec	2.8	2.4	2.1	12.2	8.4	6.1	-	-	117.0	-	-	-	-1.3%	4.8%	6.8%
Soitec																		
Bloomberg (at current px)	154	6,206	Mar	7.6	5.9	4.5	27.7	17.2	12.2	124.9	34.1	19.7	325.7	43.4	24.5	1.5%	2.0%	2.5%
JPMe (at current px)	154	6,206	Mar	7.9	5.3	3.8	28.0	12.6	8.0	85.5	18.4	10.2	151.1	23.3	12.6	4.7%	1.4%	1.2%
JPMe (at PT)	200	8,158	Mar	10.1	6.7	4.8	35.5	16.0	10.2	108.5	23.4	13.0	195.7	30.1	16.3	3.6%	1.1%	0.9%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

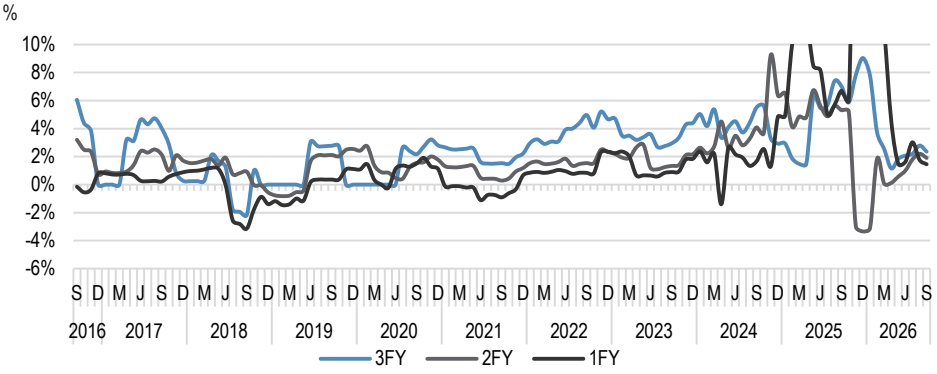
Table 2: Soitec, JPMe vs. Bloomberg consensus

€ million

	JPMe FY27	JPMe FY28	JPMe FY29	BBG FY27	BBG FY28	BBG FY29	Diff. FY27	Diff. FY28	Diff. FY29
Mobile Comm.	238	282	342	289	348	412	-18%	-19%	-17%
Auto. & Industrial.	72	80	91	72	77	91	-0%	+3%	+1%
Edge & Cloud AI	394	696	1042	397	583	754	-1%	+19%	+38%
Revenue	704	1,057	1,475	734	948	1,229	-4%	+11%	+20%
Gross profit	193	434	684	174	301	441	+11%	+44%	+55%
Gross margin	27.3%	41.0%	46.4%	23.6%	31.7%	35.9%	+370 bps	+934 bps	+1046 bps
Operating Income	65	303	545	44	162	278	+47%	+87%	+96%
Operating margin	9.3%	28.6%	36.9%	6.0%	17.1%	22.7%	+323 bps	+1156 bps	+1426 bps
Net Income	37	243	449	15	128	233	+143%	+90%	+93%
Dil. EPS	1.02	6.63	12.25	0.47	3.56	6.31	+116%	+87%	+94%
EBITDA	200	443	696	202	324	457	-1%	+37%	+52%
EBITDA margin	28.3%	42.0%	47.2%	27.5%	34.2%	37.2%	+86 bps	+780 bps	+996 bps
FCF	262	80	67	81	112	137	+223%	-28%	-51%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 1: Soitec, Bloomberg FCF yield



Source: Bloomberg Finance L.P.

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Investment Thesis, Valuation and Risks

Soitec *(Overweight; Price Target: €200.00)*

Investment Thesis
Soitec's Silicon Photonics franchise is set to drive significant revenue growth for the group in the medium term, more than compensating for any continued softness in the legacy business. Soitec's Silicon Photonics is a key raw material used for optical and networking products, and as such is expected to see rapid revenue growth in the coming years. Given the structure of the business with high contribution margins and high fixed costs, we expect to see significant leverage on gross and operating margins leading to very material upgrades to consensus estimates.

Valuation
We set our June 2028 price target of €200 using a 13.0x EV/EBIT multiple on FY29 estimates (y/e March 2029). We shift to using EV/EBIT multiples given this better reflects the capital cost of the business; however, we note that the price target is equivalent to 10x EBITDA (vs. prior applied multiple of 11.0x EBITDA). The selected multiple is aligned to multiples of wafer maker peers.

Risks to Rating and Price Target

- Heightened competition in Silicon Photonics, leading to volume and price pressure for Soitec
- Constraints on Soitec's ability to expand supply of Silicon Photonics to meet demand
- Slowing of data center build out and slowing growth of Scale Across, Scale Out and Scale Up applications
- Initiatives to improve working capital may have a detrimental impact on revenue/ market share and profitability

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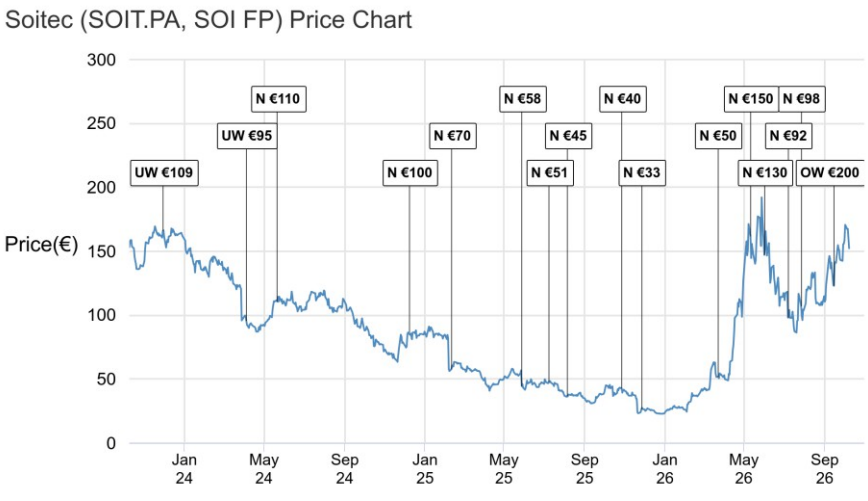
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05-Apr-24	UW	95.50	95
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11-Feb-25	N	57.85	70
29-May-25	N	44.48	58
09-Jul-25	N	48.01	51
06-Aug-25	N	36.79	45
28-Oct-25	N	42.69	40
27-Nov-25	N	26.46	33
23-Mar-26	N	51.76	50
12-May-26	N	161.70	150
02-Jun-26	N	147.20	130
08-Jul-26	N	98.16	92
28-Jul-26	N	107.05	98
16-Sep-26	OW	123.00	200

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